the presence of third parties whose advice is unaffected by the proposal would reduce the impact of the proposal. Please explain and provide empirical facts to support your response.

281. How frequently do funds currently deliver prospectus stickers to shareholders on average? Do funds typically deliver prospectus stickers separately, or together with other materials (*e.g.*, semi-annual reports)? What effects would proposed rule 498B, including the requirement to deliver prompt notices of certain material changes, have on funds' delivery costs?

282. Are our estimates of the compliance costs associated with the proposed amendments reasonable?

283. Is our assessment of the relative costs and benefits of the proposal to exclude open-end funds registered on Form N-1A from the scope of rule 30e-3 correct? Please provide qualitative or other information about the expected costs of delivering rule 30e-3 notices or complying with that rule more generally in light of funds' additional experience with the rule after its adoption. How do these costs compare to the expected costs of preparing and delivering the proposed shareholder reports?

284. We seek information that would help us quantify or otherwise qualitatively assess the benefits of the proposed rule, particularly the benefits for retail investors. Please provide any data, studies, or other evidence that would allow us to quantify some or all of the benefits.

285. The proposal is designed to conserve the time and attention of retail investors, and other market participants, in using the disclosures that funds provide through prospectuses and shareholder reports. We do not, however, have reliable estimates of the value to investors of being able to use their time more efficiently under the proposal or being able to make more

informed investment decisions. We are requesting comment on the effects of the proposal on the use of investor time and attention, the ability of investors to make informed investment decisions, and on the proposal's likely effects on welfare of retail investors. Please provide explanations to support your comments. Please also provide examples, where appropriate, and supporting evidence from analysis of quantitative data, where available.

286. The proposal is designed to increase the use of disclosures by retail investors. We seek comment on whether the benefit in terms of investor comprehension of the disclosures is likely to vary according to the disclosure format and, in particular, according to whether delivery occurs in the form of digital media. What is the empirical evidence? Please explain and provide documentation of any quantitative evidence that includes an explanation of the data sources and analysis methods.

287. We seek comment on whether, and to what extent, funds that have the option would choose to rely on the AFFE amendments that we are proposing. For example, for purposes of the economic analysis, we have assumed that all funds that are eligible for the AFFE amendment would choose to move their AFFE disclosure to a footnote of the fee table, if allowed to do so. It is possible that not all such funds would rely on the amendment, however.[858] Are there conditions under which a fund that could move AFFE out of the fee table would choose not to do so? Please explain. Also please provide data or examples to support your answer.

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[858] *See supra* paragraph accompanying footnote 621 (recognizing that funds that tend to hold acquired fund investments near the 10% threshold may prefer to consistently disclose AFFE in the fee table to avoid moving the disclosure back-and-forth between a footnote and the table).

288. The effects on investors of fund reliance on the proposed AFFE amendments would depend on how many funds rely on the AFFE amendment, and under what conditions. For example, we estimate that only funds with investments in acquired funds of less than 20% of total assets would likely spend time considering whether they would qualify for the AFFE amendment. We are requesting comment on the effects of the proposed amendment on funds and investors.

289. The effects on investors of the proposed change in the AFFE disclosure would depend on whether, and under what conditions, investors currently rely on the fund AFFE disclosure information. We are requesting comment on how investors and other market participants use the AFFE information that is disclosed currently. What is the evidence that investors and others rely on AFFE disclosures in making choices among funds? What is the evidence that the proposed changes would cause any difference in the way this information is used or the ease of its use by investors or other market participants? Please explain and provide supporting cites (or other background documentation).

290. We are requesting comments on whether there are any disparities between the likely effects of the advertising rule amendments on different financial products or investments that could lead to differences in the effects of the proposed advertising rule amendments across products. We specifically seek comments on differences in the effects of the proposed advertising rule amendments between ETFs or mutual funds, on the one hand, and other types of registered investment companies, on the other.

291. We are not proposing to require Form N-CSR to be submitted in a structured machine-readable format. Should we require funds to submit some or all of Form N-CSR in a structured machine-readable format such as the Inline XBRL format? What would be the

benefits and costs of such a requirement? Would any resulting benefits accrue to all types of investors (*e.g.*, retail investors and institutional investors)? Are there any particular disclosures which investors would benefit most from having access to in structured machine-readable format? Should a structured machine-readable format other than Inline XBRL, such as a custom XML format, be required for Form N-CSR?

292. Form N-CSR currently requires funds to disclose their name and Investment Company Act file number on the Form N-CSR cover page. Unlike the Investment Company Act file number, which is a Commission-specific identifier, the Legal Entity Identifier ("LEI") is used by numerous domestic and international regulatory regimes and could facilitate collection of information about a fund beyond the information disclosed in Commission filings.[859] Should we require a fund that has an LEI to disclose its LEI on the Form N-CSR cover page? What would be the costs and benefits of such an approach for investors and for funds? If the approach would provide informational benefits for investors, would retail investors realize such benefits? By making additional information available outside of the shareholder reports, would the added LEI requirement contribute to the layered disclosure framework discussed above?

293. Form N-CSR currently requires funds that disclose divested securities under Item 6.b of the Form to include the Committee on Uniform Securities Identification Procedures ("CUSIP") number for each divested security listed. Should we consider omitting Form N-CSR's requirement to provide a CUSIP number for each divested security? Why or why not? Should we permit funds to provide, in lieu of a CUSIP number, other identifiers

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[859] The LEI is also used by private market participants for risk management and operational efficiency purposes. *See* the LEI ROC's list of LEI uses at https://www.leiroc.org/lei/uses.htm.

such as a Financial Instrument Global Identifier (FIGI) for each security? Why or why not? Would permitting voluntary use of an alternate identifier have a beneficial effect for investors, funds, or users of the data?

IV. PAPERWORK REDUCTION ACT ANALYSIS

A. Introduction

Certain provisions of the proposed amendments contain "collection of information" requirements within the meaning of the Paperwork Reduction Act of 1995 ("PRA").[860] We are submitting the proposed collections of information to the Office of Management and Budget ("OMB") for review in accordance with the PRA.[861] The titles for the existing collections of information are: (1) "Form N-1A, Registration Statement under the Securities Act and under the Investment Company Act for Open-End Management Investment Companies" (OMB Control No. 3235-0307)[862]; (2) "Rule 30e-1 under the Investment Company Act, Reports to Stockholders of Management Companies" (OMB Control No. 3235-0025) (3) "Form N-CSR, Certified Shareholder Report under the Exchange Act and under the Investment Company Act for Registered Management Investment Companies"(OMB Control No. 3235-0570); (4) "Rule 30e-3 under the Investment Company Act, Internet Availability of Reports to Shareholders" (OMB Control No. 3235–0758); (5) "Rule 31a-2, Records to be Preserved by Registered Investment Companies, Certain Majority-Owned Subsidiaries thereof, and other Persons Having Transactions with Registered Investment Companies" (OMB Control No. 3235-0179); (6) "Rule 498 under the Securities Act of 1933, Summary Prospectuses for

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860 44 U.S.C. 3501 through 3521.

861 44 U.S.C. 3507(d); 5 CFR 1320.11.

862 In addition to the amendments discussed below, we also are proposing amendments to Schedule 14A and Form N-14 to update certain cross references to the fee table in Form N-1A.

Open-End Management Investment Companies" (OMB Control No. 3235-0648); (7) "Rule 34b-1 under the Investment Company Act, Sales Literature Deemed to be Misleading" (OMB Control No. 3235-0346); (8) "Rule 433 under the Securities Act of 1933" (OMB Control No. 3235-0617); and (9) "Rule 482 under the Securities Act of 1933 Advertising by an Investment Company as Satisfying Requirements of Section 10" (OMB Control No. 3235-0565). We are also submitting a new collection of information for proposed rule 498B under the Securities Act to allow funds to rely on a new layered disclosure framework for prospectus delivery to existing shareholders, subject to certain conditions. The title for this new collection of information would be "Delivery of Prospectuses to Existing Shareholders of Open-End Management Investment Companies."

An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number.

We discuss below the collection of information burdens associated with proposed amendments to Form N-1A, rule 30e-1 under the Investment Company Act, and Form N-CSR. We also discuss proposed rule 498B and proposed amendments to rule 482 under the Securities Act, rule 34b-1 under the Investment Company Act, rule 433 under the Securities Act, and rule 30e-3 under the Investment Company Act. The Commission also intends to use two Feedback Fliers to obtain information from investors and funds about the proposed rule.[863] The Feedback Fliers are included in this proposal as Appendix B and Appendix C hereto.

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[863] The Commission has determined that this usage is in the public interest and will protect investors, and therefore is not subject to the requirements of the Paperwork Reduction Act of 1995. *See* section 19(e) and (f) of the Securities Act. Additionally, for the purpose of

B. Form N-1A

In our most recent Paperwork Reduction Act submission for Form N-1A, we estimated for Form N-1A a total hour burden of 1,662,190 hours, and the total annual external cost burden is $131,338,208.[864] Compliance with the disclosure requirements of Form N-1A is mandatory, and the responses to the disclosure requirements will not be kept confidential.

The table below summarizes our PRA initial and ongoing annual burden estimates associated with the proposed amendments to Form N-1A.

TABLE 9: FORM N-1A PRA ESTIMATES

	Initial hours	Annual hours[1]		Wage rate[2]	Internal time costs	Annual external cost burden
Revise fee table and fee and expense terminology	9 hours[3]	5 hours[4]	×	$336 (blended rate for compliance attorney and senior programmer)	$1,680	
Revise risk disclosures	18 hours	10 hours[5]		$336 (blended rate for compliance attorney and senior programmer)	$3,360	
Remove rule 30e-3 legend[6]	-1	-0.33 hours		$336 (blended rate for compliance attorney and senior programmer)	-$110.88	
Total new annual burden per fund		14.67 hours			$4,929.12	
Number of funds		× 12,410 funds[7]			× 12,410 funds	
Total new annual burden		182,054.7 hours			$61,170,379.2	$0
TOTAL ESTIMATED BURDENS INCLUDING AMENDMENTS						
Current burden estimates		+ 1,662,190 hours				+ $131,139,208
Revised burden estimates		1,844,244.7 hours				$131,139,208

Notes:

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developing and considering any potential rules relating to this rulemaking, the agency may gather from and communicate with investors or other members from the public. *See* section 19(e)(1) and (f) of the Securities Act.

[864] This estimate is based on the last time the rule's information collection was submitted for PRA renewal in 2020.

1. Includes initial burden estimates annualized over a 3-year period.
2. The Commission's estimates of the relevant wage rates are based on salary information for the securities industry compiled by the Securities Industry and Financial Markets Association's Office Salaries in the Securities Industry 2013. The estimated figures are modified by firm size, employee benefits, overhead, and adjusted to account for the effects of inflation. See Securities Industry and Financial Markets Association, Report on Management & Professional Earnings in the Securities Industry 2013.
3. This estimate is an average estimate across all Form N-1A registrants. This average estimate takes into account higher costs for certain funds that make investments in other funds. Additionally, we assume that a subset of such funds would conduct annual calculations to determine if they are eligible to use the proposed new AFFE presentation option.
4. Includes initial burden estimates annualized over a three-year period, plus 2 hours of ongoing annual burden hours. The estimate of 5 hours is based on the following calculation: ((9 initial hours /3) + 2 hours of additional ongoing burden hours) = 5 hours.
5. Includes initial burden estimates annualized over a three-year period, plus 4 hours of ongoing annual burden hours. The estimate of 10 hours is based on the following calculation: ((18 initial hours /3) + 4 hours of additional ongoing burden hours) = 10 hours
6. This amendment will decrease the burdens associated with Form N-1A.
7. Includes all open-end funds, including ETFs, registered on Form N-1A.

C. Proposed New Shareholder Report Requirements under Rule 30e-1

We have previously estimated that it takes a total of 1,028,658 hours, and involves a total external cost burden of $147,750,391, to comply with the collection of information associated with rule 30e-1.[865] Compliance with the disclosure requirements of rule 30e-1 is mandatory. Responses to the disclosure requirements are not kept confidential.

The table below summarizes our PRA initial and ongoing annual burden estimates associated with the proposed amendments to rule 30e-1.

TABLE 10: RULE 30E-1 PRA ESTIMATES

	Internal initial burden hours	Internal annual burden hours[1]		Wage rate[2]	Internal time costs	Annual external cost burden
Prepare annual report pursuant to new Item 27A of Form N-1A	36 hours	22 hours[3]	×	$336 (blended rate for compliance attorney and senior programmer)	$7,392	
Prepare semi-annual report pursuant to new Item 27A of Form N-1A	18 hours	11 hours[4]		$336 (blended rate for compliance attorney and senior programmer)	$3,696	
Website availability requirements	12	8 hours[5]		$239 (webmaster)	$1,912	
Delivery upon request requirements						$500
Total additional burden per fund		41 hours			$13,000	
Number of funds		× 12,410 funds[6]			× 12,410 funds	× 12,410 funds

865 This estimate is based on the last time the rule's information collection was submitted for PRA renewal in 2019.

Total annual burden	508,810 hours	$161,330,000	$6,205,000
TOTAL ESTIMATED BURDENS INCLUDING AMENDMENTS			
Current burden estimates	+1,028,658		+$147,750,391
Revised burden estimates	1,537,468		$153,955,391

Notes:
1. Includes initial burden estimates annualized over a 3-year period.
2. These PRA estimates assume that the same types of professionals would be involved in satisfying the proposed reporting requirements that we believe otherwise would be involved in preparing and filing shareholder reports. The Commission's estimates of the relevant wage rates are based on salary information for the securities industry compiled by the Securities Industry and Financial Markets Association's *Office Salaries in the Securities Industry 2013*. The estimated figures are modified by firm size, employee benefits, overhead, and adjusted to account for the effects of inflation. *See* Securities Industry and Financial Markets Association, Report on Management & Professional Earnings in the Securities Industry 2013.
3. This estimate assumes that, after the initial 36 hours that a fund would spend preparing an annual report, which we annualize over a 3-year period, the fund would incur 10 additional burden hours associated with ongoing preparation of the shareholder report per year. The estimate of 22 hours is based on the following calculation: ((36 initial hours /3) + 10 hours of additional ongoing burden hours) = 22 hours.
4. This estimate assumes that, after the initial 18 hours that a fund would spend preparing a semi-annual report, which we annualize over a 3-year period, the fund would incur 5 additional burden hours associated with ongoing preparation of the semi-annual report per year. The estimate of 11 hours is based on the following calculation: ((18 initial hours /3) + 5 hours of additional ongoing burden hours) = 11 hours.
5. This estimate assumes that, after the initial 12 hours that a fund would spend complying with these website availability requirements, which we annualize over a 3-year period, the fund would incur 4 additional burden hours associated with ongoing compliance with these website availability requirements per year. The estimate of 8 hours is based on the following calculation: ((12 initial hours /3) + 4 hours of additional ongoing burden hours) = 8 hours.
6. Includes all open-end funds, including ETFs, registered on Form N-1A.

D. Form N-CSR

In our most recent Paperwork Reduction Act submission for Form N-CSR, we estimated the annual compliance burden to comply with the collection of information requirement of Form N-CSR is 179,443 burden hours with an internal cost burden of $57,723,571, and an external cost burden estimate of $3,129,984.[866] Compliance with the disclosure requirements of Form N-CSR is mandatory, and the responses to the disclosure requirements will not be kept confidential.

The table below summarizes our PRA initial and ongoing annual burden estimates associated with the proposed amendments to Form N-CSR.

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866 This estimate is based on the last time the rule's information collection was submitted for PRA renewal in 2018.

TABLE 11: FORM N-CSR PRA ESTIMATES

	Internal initial burden hours	Internal annual burden hours[1]		Wage Rate[2]	Internal Time Costs	Annual external cost burden
PROPOSED ESTIMATES FOR INITIAL N-CSR FILINGS						
Total additional burden per filing (proposed new Items 7-11 of Form N-CSR)	18 hours	11 hours[3]	×	$336 (blended rate for compliance attorney and senior programmer)	$3,696	–
Number of filings		×24,820[4]			× 24,820	
Total additional burden for Form N-CSR		273,020 hours			$91,743,720	–
TOTAL ESTIMATED BURDENS INCLUDING AMENDMENTS						
Current burden estimates		+179,443 hours				$3,129,984
Revised burden estimates		452,463 hours				$3,129,984

Notes:
1. Includes initial burden estimates annualized over a 3-year period.
2. These PRA estimates assume that the same types of professionals would be involved in satisfying the proposed reporting requirements that we believe otherwise would be involved in preparing and filing Form N-CSR. The Commission's estimates of the relevant wage rates are based on salary information for the securities industry compiled by the Securities Industry and Financial Markets Association's *Office Salaries in the Securities Industry 2013*. The estimated figures are modified by firm size, employee benefits, overhead, and adjusted to account for the effects of inflation. *See* Securities Industry and Financial Markets Association, Report on Management & Professional Earnings in the Securities Industry 2013.
3. This estimate assumes that, after the initial 18 hours that a fund would spend preparing the new items on Form N-CSR, which we annualize over a 3-year period, the fund would incur 5 additional burden hours associated with ongoing preparation of these items per year. The estimate of 11 hours is based on the following calculation: ((18 initial hours / 3) + 5 hours of additional ongoing burden hours) = 11 hours.
4. Funds make two filings on Form N-CSR annually. Therefore, this estimate is based on the following calculation: 12,410 funds x 2 = 24,820 filings.

E. Proposed Rule 498B

Proposed rule 498B would address shareholders' continued receipt of annual prospectus updates in the years following their initial investment in a fund and uses layered disclosure concepts to tailor funds' required disclosures to the informational needs of different types of investors.[867] Under the proposed rule, investors would continue to receive a prospectus in connection with their initial fund investment, as they do today. Thereafter, a shareholder would no longer receive annual prospectus updates, in light of the fact that the shareholder would be receiving tailored shareholder reports (which would include, in the

[867] *See supra* section II.F.